

HEDGEYE DAILY DIGEST

Daily macro research summary • July 23, 2026 (GMT+8)

*The macro tape is speaking in one voice this morning: **#Quad3 reflation**. Oil's breakout above its **\$82 TREND line** and a synchronized rise across **2s, 10s and 30s** forced Keith McCullough's process to abandon four separate exposures — the Oil short, Airlines, Housing and Treasuries — and redeploy into what actually works in a reflationary regime: **Utilities, REITs, Software/Cybersecurity and select international equities**. The through-line is discipline over conviction: "My best ideas are usually the worst positions if I'm too early."*

Timezone note: Grouping is done in GMT+8. As of this run (Jul 23, ~1PM GMT+8 / ~1AM EDT), Hedgeye has not yet published its Jul 23 EDT slate, so there are **no "Today" (Jul 23 GMT+8) items**. The freshest batch — Hedgeye's Jul 22 EDT morning research — maps to **Yesterday (Jul 22 GMT+8)** and forms the core of this digest.

Today's Publications (Jul 23, GMT+8)

No new Hedgeye publications have posted for the current GMT+8 day yet. Hedgeye's Jul 23 EDT research (Early Look, Macro Show, MOMO Tracker) typically publishes around **7:00–11:00 AM EDT**, which lands in the Jul 23 evening / Jul 24 morning GMT+8 window.

Yesterday's Publications (Jul 22, GMT+8)

EARLY LOOK — "Oil Up, Bonds Down = #Quad3"

Early Look · 07/22 07:31 AM EDT · Keith McCullough

Quad positioning: #Quad3 (reflation — growth stable/slowing, inflation re-accelerating). The day's thesis is a textbook Quad3 confirmation: **Oil (WTI) reflatng another +4.2%** toward **\$88/barrel**, having broken above both its **TRADE momentum level (\$78)** and its **TREND breakout line (\$82)** — Keith's "Alpha Code **7882**." Simultaneously the entire Treasury curve is signaling higher: the **UST 2yr, 10yr and 30yr yields are all Bullish TRADE and TREND**, with the 10yr closing in on its **cycle high of 4.67%** and the 30yr on its **cycle high of 5.18%**.

The process **exited before the narrative caught up** — out of **US Treasuries (TLT)**, **Investment Grade Credit (LQD)**, **Housing (XHB)**, **Extended Market (VXF)** and **Airlines (JETS)**. The reallocation is into **BUG** (the Long Software asset allocation), which "started correcting last week" — precisely when the process says buy more, not panic.

Investment implication: In Quad3, follow the tape, don't forecast geopolitics. Rising oil + rising yields = stay long real-asset/reflation and rate-resilient equity exposures (Utilities, REITs, Energy-adjacent, Software), and respect stop-outs on rate-sensitive longs (bonds, housing) even when the long-term thesis still looks good.

Risk Range™ Signals

Asset	Risk Range (Low – High)	TREND Signal
10-Yr U.S. Treasury Yield (UST10Y)	4.52 – 4.65	Bullish
High Yield (HYG)	79.51 – 79.89	Bullish
Investment Grade Credit (LQD)	106.4 – 107.7	Bearish
S&P 500 (SPX)	7424 – 7576	Bullish
NASDAQ Composite (COMPQ)	25302 – 26303	Bullish
Russell 2000 (RUT)	2942 – 3015	Bullish
Technology (XLK)	173 – 188	Bullish
Health Care (XLV)	157 – 164	Bullish
Utilities (XLU)	44.14 – 45.95	Bullish
Real Estate (XLRE)	44.19 – 45.94	Bullish

Asset	Risk Range (Low – High)	TREND Signal
Volatility Index (VIX)	15.04 – 19.33	Bearish
U.S. Dollar Index (USD)	100.44 – 101.50	Bullish
Crude Oil (WTIC)	79.07 – 90.26	Bullish
Natural Gas (NATGAS)	2.79 – 3.03	Bearish
Gold (GOLD)	3960 – 4166	Bearish
Copper (COPPER)	6.22 – 6.55	Bullish
Silver (SILVER)	55 – 61	Bearish

The Macro Show — Summary Notes | Wed, July 22

The Macro Show · 07/22 10:37 AM EDT · Keith McCullough & Emma Vlasic

The show elaborated on the Early Look's positioning overhaul. **Oil's break above ~\$82 into a bullish TREND** was the single most consequential signal — it invalidated the portfolio's **Oil short** and undercut its **Airlines long** at the same time (two sides of the same energy-price exposure), forcing **exits from both**. Keith's message: markets are to be followed, not forecast through geopolitical narratives.

On rates, **TLT and zero-coupon bond exposure were sold**, with the **10yr approaching 4.67%** described as a “breakout line within the breakout line.” His risk-management maxim: **“My best ideas are usually the worst positions if I'm too early.”** **Housing was sold**, but **Utilities (XLU) and REITs (XLRE) remain long** — rising yields are not automatically bearish for every rate-sensitive sector in Quad3 (Utilities were ~flat even as yields jumped).

Capital was **reallocated, not left idle**: ~2% moved from **Airlines into Colombia (COLO)**. The **Philippines (EPHE) flipped from short to long** on rising ETF volume. Keith prefers **equal-weight (RSP) over SPY** and is **underweight small caps**. In equities he favors **Software/Cybersecurity (BUG, CrowdStrike/CRWD)** over **Semiconductors** — flagging that the NVDA/AMD/MU rally was concentrated and options-driven, and warning of a potentially severe semis drawdown if revenue growth decelerates into 2027.

Key levels & calls: Silver bearish (TRADE ~\$62, TREND ~\$69) → **short Silver Miners (SIL)**; **Gold** still needs to reclaim ~\$4,162 for bullish TRADE; **British Pound (FXB) added** on a softer UK CPI print (short leash). **Bullish**: RSP, XLU, XLRE, XLV, IAK, BUG, CRWD, COLO, EWZ, EPHE, FXB, CLOX, CLOZ, DESK. **Bearish**: India (INDA), Israel (EIS), Indonesia (IDX), Silver Miners (SIL).

MOMO Tracker — “Quad3 Rotation Continues Beyond Mega-Cap Tech”

Momentum Stock Tracker · 07/22 09:36 AM EDT · Christian Drake & Ryan Ricci

What: The daily momentum dashboard for the Mag7 and major equities. **Why:** Confirms the Early Look's regime read — momentum leadership is **broadening beyond mega-cap tech** as the **Quad3 rotation** deepens. **Takeaway:** Consistent with the RSP-over-SPY and Software-over-Semis tilts — breadth is improving under the surface while the largest single names lose their momentum monopoly. (Chart-driven product; the narrative lives in the title and RR Signals.)

Capital Allocation Pro — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 07/22 09:25 AM EDT · McGroarty / Nanai / Salem

What: Daily model-portfolio dashboard from Hedgeye Asset Management. **Why:** The latest **Model Portfolio changes go into effect using closing prices Friday, July 17**. **Key numbers:** Trend/Tail levels maintained across **68 ETFs** (refreshed on the standard 3–4 week cycle). **Takeaway:** Largely a housekeeping/resources update — the “pull vs. push” philosophy means an email is signal, not noise; the reflation repositioning shows up in the underlying model changes rather than in new commentary here.

Signal Strength Stocks: 77 Stocks (1 Added, 2 Removed)

Signal Strength Stocks · 07/22 11:29 AM EDT

What: The screen of stocks with the strongest quantitative signal strength. **Key changes:** **Added** — **MAS** (Masco); **Removed** — **DT** (Dynatrace) and **RSG** (Republic Services). **Count:** **77** names. **Takeaway:** A single add and two drops narrows the list modestly; DT and RSG losing signal is consistent with rotation away from defensives/quality-compounders as the reflation trade takes hold. (An earlier same-day update — “78 Stocks, added PINS, 9 removed” at 07/21 12:46 PM EDT — was superseded by this one.)

CRYPTO QUANT — BTC (-0.7%), BLOK = NEUTRAL

Bitcoin Trend Tracker · 07/22 06:35 AM EDT · Drake / Steiner / Cooper

What: Daily crypto quant note. **Key numbers:** **Bitcoin -0.7%** overnight; **BLOK = NEUTRAL** signal; **US spot crypto ETFs +\$506M week-to-date**. **Themes:** continued “**DAT deaths**” (digital-asset treasury company failures) and a stablecoin focus on **dollarization & “monetary control”** (citing a BIS piece). **Takeaway:** flows still positive but price momentum has cooled to neutral — no directional edge in BTC here; the structural story remains stablecoins as a dollar-extension mechanism.

Other Notes

Additional research · Jul 22 (GMT+8)

UPDATE: 6 New ETF Pro Changes — ETF Pro Plus · 07/22 10:47 AM EDT. Six new tactical ETF changes posted to the ETF Pro Plus dashboard, consistent with the Quad3 reflation rotation.

L1 Watch | Weekly Update — Digital Assets · 07/22 06:59 AM EDT. Weekly Layer-1 chartbook (Ethereum/Solana and peers); chart-driven, download-only.